



THE ANSWERS MUST BE ATTEMPTED ON THE ANSWER SHEET PROVIDED

Q.1. Answer the following short questions.

(6x5=30)

- I. Katz's three essential managerial skills
- II. Organizational structure.
- III. Environment uncertainty
- IV. Strategic management
- V. Difference between recruitment and decruitment.
- VI. Authority

Answer the following questions.

(3x10=30)

Q.No.2: Write a detailed note on contemporary theories of motivation.

Q.No.3: Write a detailed note on the seven dimensions of Organizational Culture.

Q.No.4: What is planning? Explain the strategy formation of Planning.

Principles of Management (UE-272) – Detailed Solution

Part 1: Short Questions

(6 × 5 = 30 Marks)

1. Katz's Three Essential Managerial Skills

Robert L. Katz explained that managers need **three important skills** to perform their duties effectively.

Definition

Managerial skills are the **abilities that help managers perform planning, organizing, leading, and controlling tasks successfully.**

1. Technical Skills

Definition:

Technical skills refer to the **knowledge and ability to perform specific tasks related to a particular job or field.**

These skills are more important for **lower-level managers** because they directly supervise employees.

Example:

- An **IT manager** should know how computer systems work.
- A **mechanical supervisor** should understand machines and tools used in the factory.

2. Human Skills

Definition:

Human skills are the **ability of a manager to communicate, cooperate, and work well with other people.**

Managers use these skills to **motivate employees, solve conflicts, and build teamwork.**

Example:

- A manager listens to employees' problems and helps them solve them.
- A team leader encourages workers when they feel stressed or tired.

3. Conceptual Skills

Definition:

Conceptual skills are the **ability to think logically, understand complex situations, and see the organization as a whole system.**

These skills are most important for **top-level managers.**

Example:

- A CEO analyzing the market and deciding to expand the company internationally.
- A company director planning a new business strategy for the next 5 years.

2. Organizational Structure

Definition

Organizational structure is the **formal system that shows how tasks are divided, who reports to whom, and how authority flows within an organization.**

It explains:

- Responsibilities of employees
- Reporting relationships
- Communication channels

Example

In a **school organization:**

Principal



Vice Principal



Teachers



Administrative Staff

This hierarchy shows **who has authority and who reports to whom.**

Another example:

In a company, the **Marketing Manager, Finance Manager, and HR Manager all report to the CEO.**

3. Environmental Uncertainty

Definition

Environmental uncertainty refers to the **degree of change and unpredictability in an organization's external environment.**

Managers face uncertainty when they **cannot easily predict future events** such as market changes, technology, or competitors.

Types of Environments

Stable Environment

Few changes occur and conditions remain predictable.

Example:

A bakery business where demand for bread remains almost the same every day.

Dynamic Environment

Changes happen rapidly and unpredictably.

Example:

A smartphone company where new technology and competitors appear frequently.

4. Strategic Management

Definition

Strategic management is the **process through which managers set long-term goals, develop strategies, and allocate resources to achieve organizational objectives.**

It helps organizations:

- Compete in the market
- Grow in the future
- Use resources effectively

Example

A clothing company decides to:

- Close physical stores
- Focus only on **online selling**

This decision is strategic because it **changes the long-term direction of the business.**

Another example:

A food company expanding into **international markets.**

5. Recruitment vs Decruitment

Recruitment

Definition

Recruitment is the **process of finding, attracting, and selecting qualified employees for job positions.**

It ensures the organization hires **skilled and capable workers.**

Example

- Posting a job advertisement on **LinkedIn**

- Conducting interviews to hire a **marketing manager**

Decruitment

Definition

Decruitment is the **process of reducing the number of employees in an organization.**

This usually happens when:

- The company faces financial problems
- Technology replaces workers
- There are too many employees

Methods of Decruitment

- Layoffs
- Early retirement
- Hiring freeze

Example

If a company loses profits, it may **reduce staff to cut costs.**

6. Authority

Definition

Authority is the **formal right given to a manager to give orders, make decisions, and expect employees to obey those instructions.**

Authority comes from the **position a person holds in the organization.**

Characteristics of Authority

- It flows **from top to bottom**
- It is linked with **responsibility**
- It is limited by organizational rules

Example

- A **police officer** has authority to stop vehicles.
- A **school principal** has authority to make rules for teachers and students.

If the person leaves the position, **the authority also ends.**

Part 2: Long Questions

(3 × 10 = 30 Marks)

Q2: Contemporary Theories of Motivation

Motivation refers to the **process that encourages employees to work hard and achieve organizational goals.**

Modern management uses several motivation theories to improve employee performance.

1. Goal-Setting Theory

This theory was developed by **Edwin Locke.**

Definition

Goal-setting theory states that **specific and challenging goals lead to higher performance.**

Employees perform better when they:

- Know their goals
- Believe goals are achievable
- Receive feedback

Example

Instead of saying:

"Work hard today."

A manager says:

"Complete 30 customer calls before 5 PM."

This clear target motivates employees.

2. Reinforcement Theory

This theory was proposed by **B. F. Skinner.**

Definition

Reinforcement theory states that **behavior is influenced by its consequences.**

Employees repeat behaviors that bring **positive outcomes**.

Types of Reinforcement

Positive Reinforcement

Rewarding good performance.

Example:

Giving bonuses or awards to hardworking employees.

Negative Reinforcement

Removing unpleasant conditions.

Example:

Stopping strict supervision when workers improve performance.

3. Equity Theory

This theory was introduced by **John Stacey Adams**.

Definition

Equity theory states that employees compare their **effort and rewards with others**.

If employees feel they are treated unfairly, they become demotivated.

Example

Ali and Sara work in the same office.

- Ali salary = \$40,000
- Sara salary = \$50,000

If they do the **same work**, Ali may feel unfairly treated and reduce effort.

4. Expectancy Theory

This theory was proposed by **Victor Vroom**.

Definition

Expectancy theory says that employees are motivated when they believe:

Effort → Performance → Reward

Example

A student studies hard because:

- Hard study leads to good grades
- Good grades lead to a good job

Similarly, employees work harder if they believe their **performance will bring rewards**.

Q3: Seven Dimensions of Organizational Culture

Organizational culture is the **shared values, beliefs, and behaviors that shape how employees work within an organization**.

Culture determines **how employees interact and perform tasks**.

1. Innovation and Risk-Taking

The degree to which employees are encouraged to **be creative and take risks**.

Example:

Companies like **Google** encourage employees to develop new ideas.

2. Attention to Detail

The level of **precision and accuracy expected from employees**.

Example:

Accounting firms require workers to **check financial records carefully**.

3. Outcome Orientation

Focus on **results rather than the process used to achieve them**.

Example:

Sales companies focus on **sales targets and profits**.

4. People Orientation

The degree to which management considers **employees' needs and well-being**.

Example:

Companies offering:

- Health benefits
- Flexible working hours
- Paid vacations

5. Team Orientation

Work is organized around **teams instead of individuals**.

Example:

Software companies often use **development teams** to complete projects.

6. Aggressiveness

The level of **competitiveness among employees**.

Example:

Sales teams competing to achieve the **highest sales numbers**.

7. Stability

The degree to which the organization **maintains the status quo instead of growing or changing**.

Example:

Government organizations often prefer **stable operations rather than rapid changes**.

Q4: Planning and Strategy Formation

Planning Definition

Planning is the **process of setting goals and deciding in advance how to achieve them**.

It helps organizations:

- Reduce uncertainty
- Use resources efficiently
- Achieve objectives

Steps of Strategy Formation

1. Mission Statement

The mission explains **why the organization exists and what it wants to achieve**.

Example:

A university's mission may be **to provide quality education and develop skilled professionals**.

2. External Analysis

Managers study factors outside the organization to identify:

- **Opportunities** (favorable conditions)

- **Threats** (external challenges)

Example:

Opportunity: Growing online market

Threat: Strong competitors

3. Internal Analysis

Managers examine internal resources to find:

- **Strengths**
- **Weaknesses**

Example:

Strength: Skilled employees

Weakness: Old technology

Steps 2 and 3 together form **SWOT Analysis**.

4. Strategy Formulation

Managers choose the best strategy to achieve goals.

Example:

- Becoming the **lowest-price brand**
- Offering **premium quality products**

5. Strategy Implementation

This step involves **putting the strategy into action**.

Example:

- Hiring skilled staff
- Investing in technology
- Marketing the product

6. Strategy Evaluation

Managers monitor results and check whether the strategy is working.

Example:

- Reviewing profits

- Checking customer satisfaction
- Making improvements if necessary